

(T. D. 2814.)

Retail dealers in leaf tobacco.

Law relating to retail dealers in leaf tobacco repealed on and after April 1, 1919. Sales of leaf tobacco to consumers, except by farmers, unlawful after that date. Instructions relative to disposition of stocks of leaf tobacco on hand.

TREASURY DEPARTMENT,
OFFICE OF COMMISSIONER OF INTERNAL REVENUE,
Washington, D. C.

To collectors of internal revenue and others concerned:

Section 704 of the revenue act of 1918, approved February 24, 1919, provides in part:

That section 35 of the act entitled "An act to provide revenue, equalize duties and encourage the industries of the United States, and for other purposes," approved August 5, 1909, be, and is hereby, repealed, to take effect April 1, 1919.

The said section 35 relates to retail dealers in leaf tobacco. In view of its repeal, every person, other than a farmer or grower, who, on or after April 1, 1919, is engaged in the business of selling leaf tobacco will be regarded as a dealer amenable to the provisions of section 3244, Revised Statutes, as amended. Dealers are also amenable to the provisions of section 3360, Revised Statutes, which is amended by section 704 of the new act to provide, in part, as follows:

(c) Sales or shipments of leaf tobacco by a dealer in leaf tobacco shall be in quantities of not less than a hoghead, tierce, case, or bale, except loose leaf tobacco comprising the breaks on warehouse floors, and except to a duly registered manufacturer of cigars for use in his own manufactory exclusively.

Dealers in leaf tobacco shall make shipments of leaf tobacco only to other dealers in leaf tobacco, to registered manufacturers of tobacco, snuff, cigars, or cigarettes, or for export.

(d) Upon all leaf tobacco sold, removed, or shipped by any dealer in leaf tobacco in violation of the provisions of subdivision (c), * * * there shall be levied, assessed, collected, and paid a tax equal to the tax then in force upon manufactured tobacco, such tax to be assessed and collected in the same manner as the tax on manufactured tobacco.

(e) Every dealer in leaf tobacco * * * who ships or delivers leaf tobacco, except as herein provided, * * * shall be fined not less than \$100 or more than \$500, or imprisoned not more than one year, or both.

(f) For the purposes of this section a farmer or grower of tobacco shall not be regarded as a dealer in leaf tobacco in respect to the leaf tobacco produced by him.

On and after April 1, 1919, dealers will be allowed to make shipments only to other dealers in leaf tobacco, or registered manufacturers of tobacco, cigars, or cigarettes or for export. Any dealer who makes shipments of leaf tobacco to consumers will be liable to fine and imprisonment as provided by section 704 (e) of the new act, and unless he has qualified as a manufacturer, and put up the tobacco in packages of statutory size containing not more than 16

ounces each, properly labeled and stamped, and canceled the stamps, he will be regarded as having incurred the penalties imposed against illegal manufacturers.

However, a retail dealer in leaf tobacco, who has not disposed of all his stock of leaf tobacco before April 1, 1919, will be permitted to hold such tobacco without qualifying as a dealer, provided he does not sell or offer such tobacco for sale. He will also be allowed to dispose of such tobacco, after that date, in one lot only, to a duly registered dealer in leaf tobacco or to a manufacturer of tobacco or cigars without himself being charged with liability as a dealer, upon making application to the Collector of Internal Revenue for the district, who will detail a deputy collector to supervise the transaction and make report thereof to him.

DANIEL C. ROPER,
Commissioner of Internal Revenue.

Approved March 24, 1919:

CARTER GLASS,
Secretary of the Treasury.

(T. D. 2815.)

Income tax.

Returns of income by or for nonresident alien individuals.

TREASURY DEPARTMENT,
OFFICE OF COMMISSIONER OF INTERNAL REVENUE,
Washington, D. C.

To collectors of internal revenue and others concerned:

Nonresident alien individuals or their authorized agents should use Form 1040, revised, or Form 1040A, revised, in making returns of income derived from sources within the United States, regardless of amount, unless the tax on such income has been fully paid at the source. If a nonresident alien individual is not liable for any tax which has been withheld at the source, no refund of such tax will be permitted unless such a return is filed and a statement is attached thereto indicating the amounts of tax withheld and the names and post-office addresses of all withholding agents. Unless a nonresident alien individual shall render a return of income, the tax will be collected on the basis of his gross income (not his net income) from sources within the United States.

In filling out Form 1040, revised, or Form 1040A, revised, the income reported in each case should be the income from sources within the United States, as defined in article 91 of regulations 45, and the deductions taken should be those allowed under article 271 of the

regulations. In items 28 and 33 of Form 1040, revised, and in items O and P of Form 1040A, revised, the tax must be computed at 12 per cent instead of 6 per cent. No credit may be taken for item 40 in Form 1040, revised.

A nonresident alien individual, similarly to a citizen or resident, is entitled for the purpose of the normal tax to credit dividends from domestic or resident foreign corporations, interest on obligations of the United States, a personal exemption, and \$200 for each dependent, except that if he is a citizen or subject of a country which imposes an income tax a personal exemption or credit for dependents is allowed him "only if such country allows a similar credit to citizens of the United States not residing in such country." "If such country allows a similar credit" means if such country in imposing its income tax allows a personal exemption or a credit for dependents, as the case may be, and allows it without discrimination to citizens of the United States not residing in such country. To satisfy the requirement of a similar credit it is not necessary that the personal exemption or credit for dependents, as the case may be, should be the same as that allowed by the United States statute. For countries that allow and do not allow similar credits see T. D. 2811 of March 22, 1919.

See generally Title II of the revenue act of 1918 and regulations 45, and particularly articles 2, 91, 92, 271, 305, 311-315, 361-372, 403, 443, 1121, 1131, and 1132.

DANIEL C. ROPER,
Commissioner of Internal Revenue.

Approved April 2, 1919:

CARTER GLASS,

Secretary of the Treasury.

(T. D. 2816.)

Income tax—Decision of the Supreme Court.

1. JOINT-STOCK ASSOCIATION.

Where trustees hold shares of stock of a corporation and real estate subject to a lease, collecting the dividends and rents, but otherwise doing no business, and distribute the income less taxes and similar expenses to the holders of their receipt certificates, who have no control except the right of filling a vacancy among the trustees and of consenting to a modification of the terms of the trust, upon these special facts under the act of October 3, 1913, the trust is not subject to the income tax as a joint-stock association, and the trustees and the cestui que trust are to be treated as fiduciaries and beneficiaries for purposes of taxation.

2. JUDGMENT REVERSED.

The judgment of the Circuit Court of Appeals is reversed and the judgment of the District Court is affirmed. (See T. D. 2720 of June 4, 1918.)

TREASURY DEPARTMENT, OFFICE OF COMMISSIONER OF INTERNAL REVENUE, *Washington, D. C.*

The appended decision of the United States Supreme Court in the case of Alvah Crocker et al., trustees, v. John F. Malley, collector of internal revenue, is published for the information of internal-revenue officers and others concerned.

DANIEL C. ROPER,
Commissioner of Internal Revenue.

Approved April 2, 1919:

CARTER GLASS,

Secretary of the Treasury.

SUPREME COURT OF THE UNITED STATES. No. 649. OCTOBER TERM, 1918.

Alvah Crocker et al., trustees, petitioners, v. John F. Malley, collector of internal revenue.

ON writ of certiorari to the United States Circuit Court of Appeals for the First Circuit.

[Mar. 17, 1919.]

Mr. Justice HOLMES delivered the opinion of the court:

This is an action to recover taxes paid under protest to the collector of internal revenue by the petitioners, the plaintiffs. The taxes were assessed to the plaintiffs as a joint-stock association within the meaning of the income-tax act of October 3, 1913 (c. 16, sec. 2, G. (a), 38 Stat. 114, 166, 172), and **were levied in respect of dividends received from a corporation that itself was taxable upon its net income.** The plaintiffs say that they were not an association but simply trustees, and subject only to the duties imposed upon fiduciaries by section 2, D. The Circuit Court of Appeals decided that the plaintiffs, together, it would seem, with those for whose benefit they held the property, were an association, and ordered judgment for the defendant, reversing the judgment of the District Court. (250 Fed., 817.)

The facts are these: A Maine paper manufacturing corporation with eight shareholders had its mills on the Nashua River, in Massachusetts, and owned outlying land to protect the river from pollution. In 1912 a corporation was formed in Massachusetts. The Maine corporation conveyed to it seven mills and let to it an eighth, that was in process of construction, together with the outlying lands and tenements, on a long lease, receiving the stock of the Massachusetts corporation in return. The Maine corporation then transferred to the plaintiffs as trustees the fee of the property, subject to lease, left the Massachusetts stock in their hands, and was dissolved. By the declaration of trust the plaintiffs declared that they held the real estate and all other property at any time received by them thereunder, subject to the provisions thereof, "for the benefit of the cestui que trusts (who shall be trust beneficiaries only, without partnership, associate, or other relation whatever inter sese)" upon trust to convert the same into money and distribute the net proceeds to the persons then holding the trustees' receipt certificates—the time of distribution being left to the discretion of the trustees, but not to be postponed beyond the end of 20 years after the death of specified persons then living. In the meantime the trustees were to have the powers of owners. They were to distribute what they determined to be fairly distributable net income according to the interests of the cestui que trusts but could apply any funds in their hands for the repair or development of the property held by them, or the acquisition of other property, pending conversion and distribution. The trust was explained to be because of the determination of the Maine